

ECO302 Mid-term Solved Papers

By AQ

Q. What is the Difference Between Optimum factor Combination and Least-cost Factor combination?

2 Marks

There is no difference between these two's as a combination of factors of production which results in minimizing the cost of production of a desired quantity of a good to be produced, in economics terminology, is called 'Optimum factor Combination' or 'Least-cost Factor combination'.

Q. What is MicroEconomic? 2 Marks

The area of economics which studies the behavior and activities of various small economic units of the economy

Q. What is MacroEconomic? 2 Marks

The area of the economic theory which studies and theorizes about the economy as a whole, Also known as National Income theory or Employment theory or Aggregative Economics.

Q. Three fields Microeconomics deals with? 3 Marks

1. Theory of production
2. Theory of price
3. Theory of distribution

Q. What is Pure Monopoly? 2 Marks

Pure monopoly is a market structure having a single firm as the sole producer of a product, for which no close substitutes are available.

Q. How Optimum combination of Factors of Production can be achieved? 3 Marks

Optimum combination of Factors of Production can be achieved through following two approaches:

1. Marginal Productivity Theory approach
2. Iso-quants or Iso-Product curves Approach

Q. Any Three Characteristics of Pure Monopoly? 3 Marks

1. Single Seller
2. Monopolist's Product has No Close Substitutes
3. Price-Maker

4. Entry Somehow is Blocked

Q. Two types of Monopoly? 2 Marks

- Natural Monopoly
- Patent Monopoly

Q. Three conditions for the possibility and success of price discrimination? 3 Marks

- Different Demand Elasticities
- Market Segmentation
- Market Sealing

Q. What is Dumping? 2 Marks

Dumping is practiced by a monopolist when he charges a lower price in the foreign market but charges a higher price in the domestic market.

Q. What are Factors of Production and write the names of them? 5 Marks

Factors of production are inputs used in a production process.

These are:

- Land
- Labor
- Capital
- Entrepreneur

Q. What is Oligopoly? 2 Marks

Oligopoly is a market situation in which a relatively small number of firms or a few firms dominate the industry and produce either a homogenous product or a differentiated product.

Q. What is the Difference Between Firm and Industry? 3 Marks

According to W.J.L. Ryan, "The economic units for the sale of goods and services is the firm".

"A group of firms producing goods which are technically similar is called an industry".

Q. Basic Objective of Firm? 2 Marks

Basic objective of a firm is to maximize profit and minimize cost.

Q. What is psychological validity? 2 Marks

It is recognized by learners as reflecting their listening ability.

Q. What Kind of Problems a firm can face? 2, 3, 5 Marks

1. What Good or Service it should produce?
2. How should the Selected Product be produced?
3. Quantity of Good to be Produced
4. Cost of Production
5. What Price should be charged?

Q. What is Optimum factor Combination? 2 Marks

A combination of factors of production which results in minimizing the cost of production of a desired quantity of a good to be produced, in economics terminology, is called 'Optimum factor Combination' or 'Least-cost Factor combination'.